# Captive Resources

Insurance, reimagined.

# Agenda

1 Captive Overview

2 Captive Structure

3 Funding for Losses

4 Financial Requirements

# Who is Captive Resources?

- Over 35 years of experience
- Independent consultant
- Administers 44 captive programs
- Represents over 5,519 shareholders
- Combined premiums exceeding $3 billion
- Captive Investors Fund of over $6.8 billion

# Methods of Managing Risk

- **Conventional**
  (Transfer all risk)
- **Self-Insure**
  (Retain all losses)
- **Risk Management**
  (Retain predictable losses)

# Who is Evolution Insurance Company, Ltd.?

**Started in April 2004:**

- 231 Members
- Total Exposures in Evolution:
  - $18 Billion in GL Exposures
  - $8.8 Billion in Payroll
  - 21,200 Total Vehicles
- Total Premiums $155 Million
- CIF Investments of $373 Million
- Dividends Returned in Excess of $156.2 Million

CAPTIVERESOURCES


What is a Captive?
An insurance company that provides insurance to and is controlled by its owners
CAPTIVERESOURCES.

# Types of Captives

Group

- **Heterogeneous**
- **Homogeneous**
  - Medical Stop Loss
  - Property
  - 831b

Rent-A-Captive

Single Parent

Agency

# About Group Captives

- All insureds are owners
- One vote per member
- Operates within a committee structure
- Risk/Claims management is critical
- Participation is required
- Members help the captive grow
- Incorporated under Cayman Islands law

# Why Cayman?

- **Accessible & business-focused regulators**
- 2nd largest captive domicile
- Over 40 years of experience with captives
- **British law**
- Compliant with international standards
  - Tax transparency
  - Anti-Money Laundering & KYC
- **“One stop shop” from a service provider standpoint**
  - Strong network of banking, legal, accounting and captive management expertise
- Tax neutral
  - There are no local taxes imposed by CI Government
  - All profits earned by Captive are taxed to US Shareholders directly via the 5471
  - **Captives are NOT domiciled in Cayman for “tax reasons”**

CAPTIVERESOURCES

# Why a **Captive** Should Be Important to You

Provides control over insurance destiny

Improves cash flow

Improves risk management

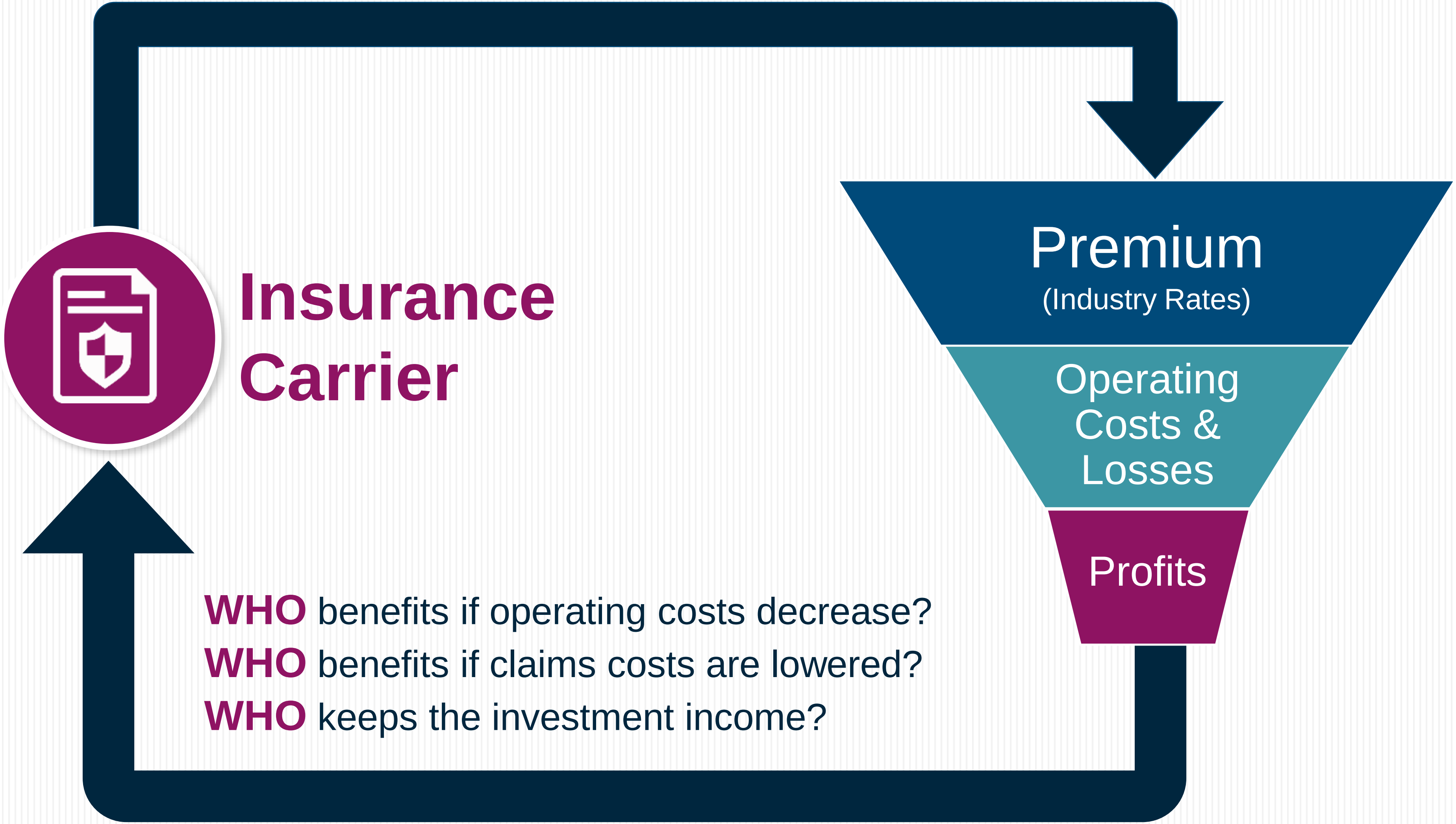
Multi-state capabilities

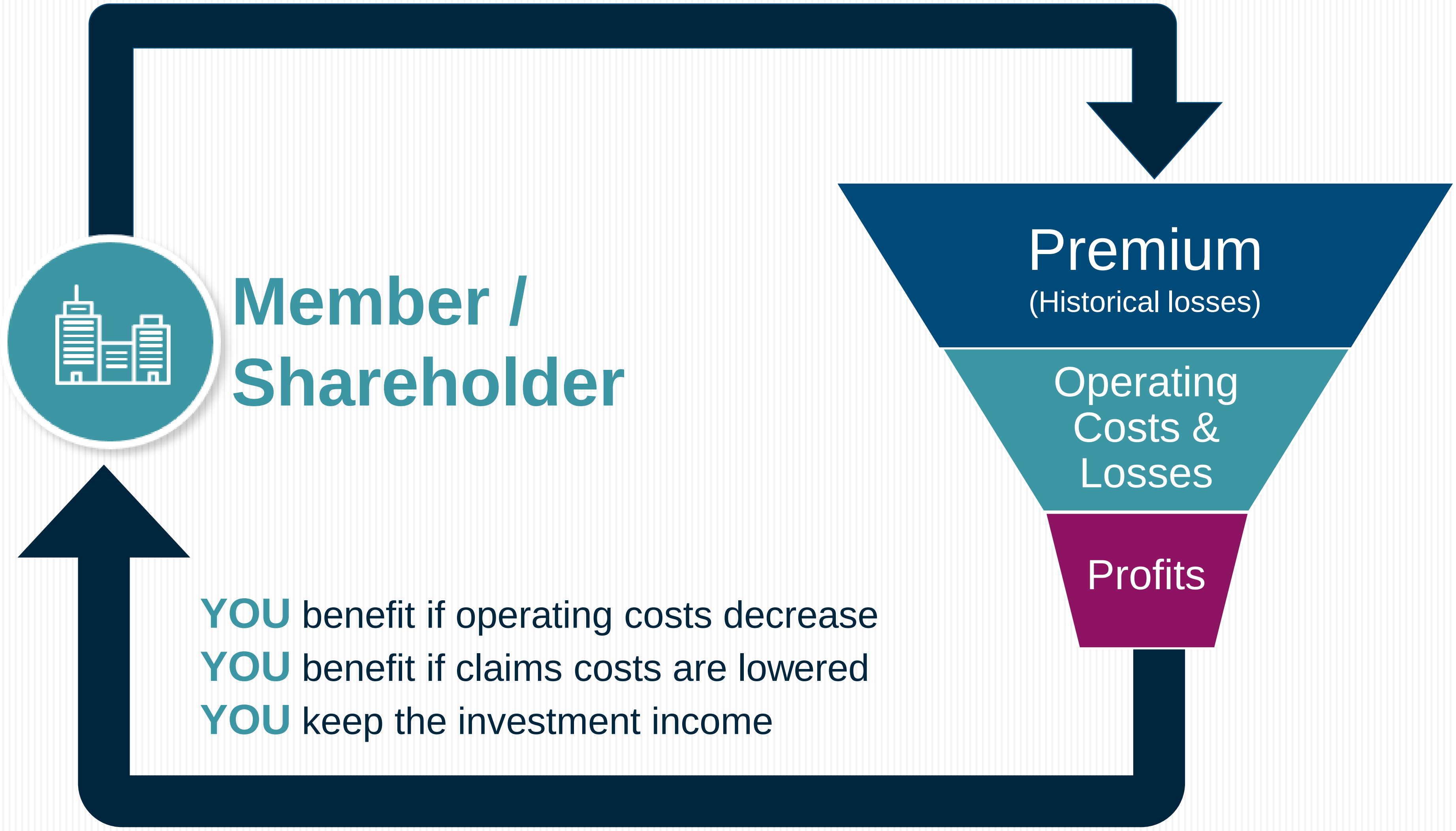
Reduces costs

Addresses coverage or administration issues

Returns underwriting profits and investment income

# Insurance Dollar Comparisons


Insurance Carrier
Premium
(Industry Rates)
Operating Costs & Losses
Profits
WHO benefits if operating costs decrease?
WHO benefits if claims costs are lowered?
WHO keeps the investment income?


Member / Shareholder
Premium
(Historical losses)
Operating Costs & Losses
Profits
YOU benefit if operating costs decrease
YOU benefit if claims costs are lowered
YOU keep the investment income

# Why Are Overall Costs Lower?

- Premiums based on your loss experience
- Insulated from market conditions
- Operating costs are lower
- **Only good risks are accepted**
- Enhanced loss control and claims management
- Return of unused loss funds and investment income

CAPTIVERESOURCES

# Questions

CAPTIVERESOURCES

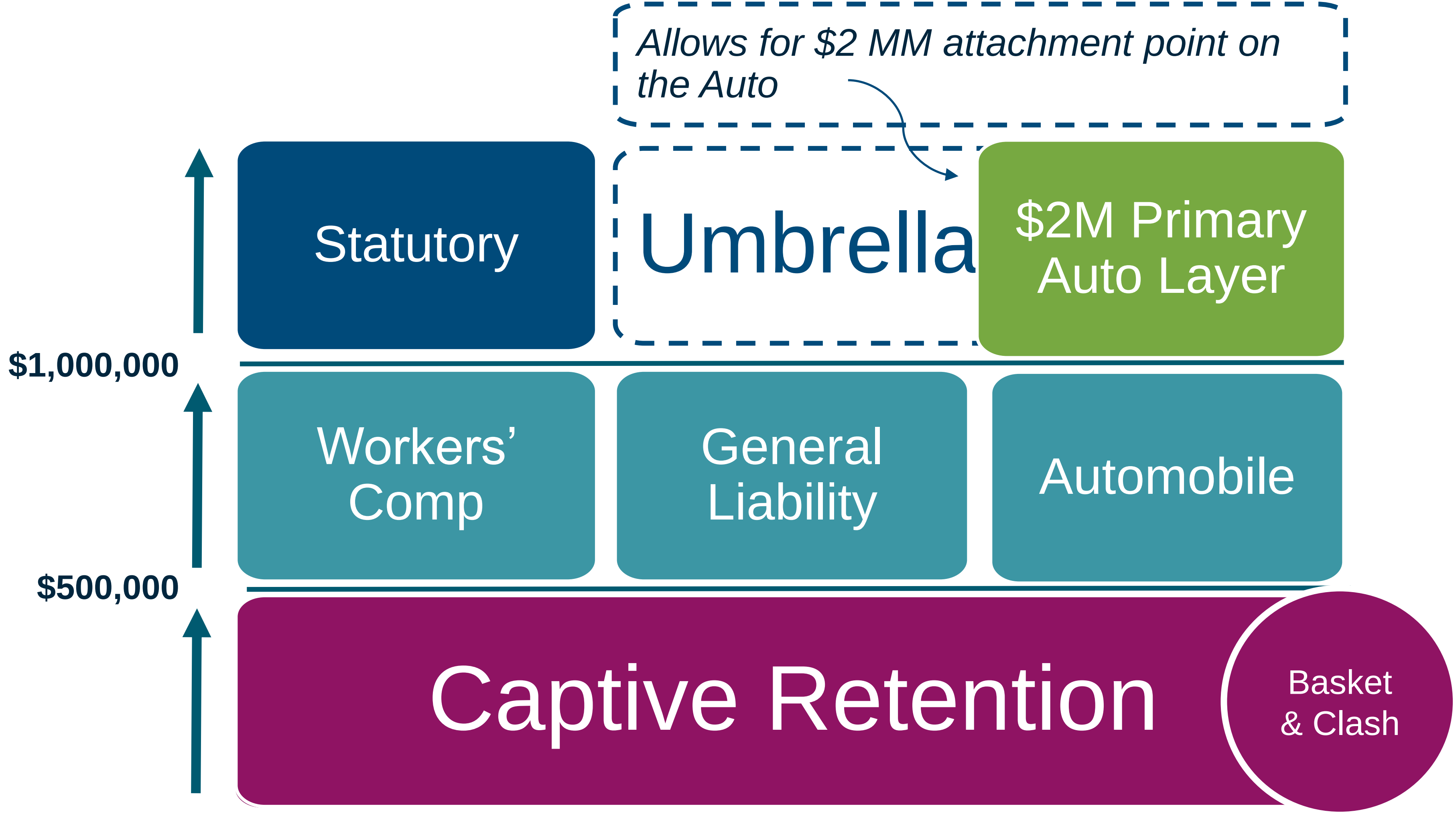
# Captive Structure

CAPTIVE RESOURCES.

WORKERS' COMPENSATION

GENERAL LIABILITY

AUTOMOBILE


Allows for $2 MM attachment point on the Auto
Statutory
Umbrella
$2M Primary Auto Layer
$1,000,000
Workers' Comp
General Liability
Automobile
$500,000
Captive Retention
Basket & Clash

# How Is The Captive Protected?

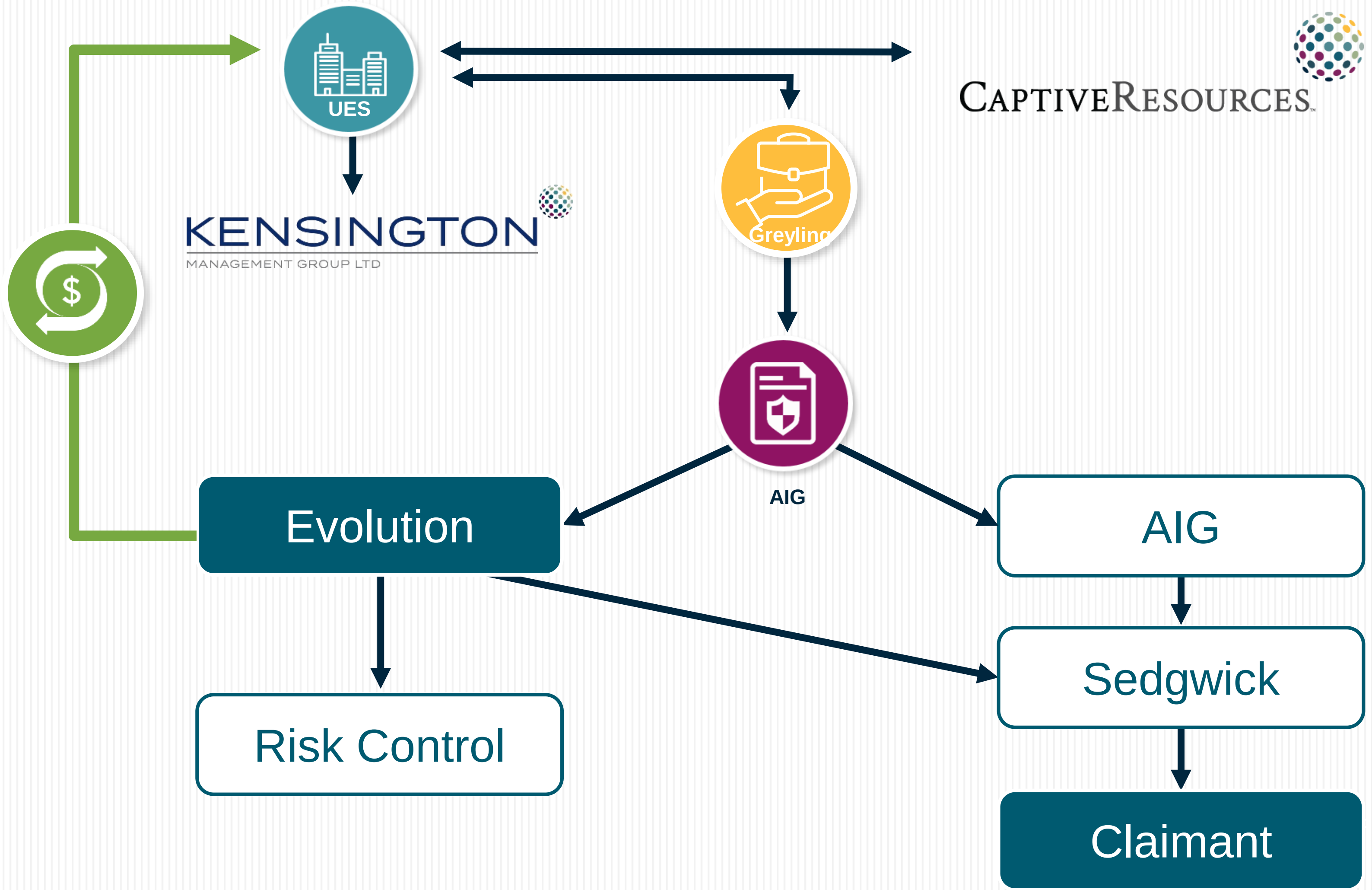
Unlimited Aggregate
Excess Insurance

*Experience Adjustment*

Loss Fund
(A+B Funds)

# How Does the Captive Work?

# Captive Flow



# Funding for Losses

CAPTIVERESOURCES.

# Funding Structure

| Sample Member | |
|---|---|
| Loss Forecast: | $425,000 |
| Operating Costs: | $200,000 |
| Premium: | $625,000 |
| State Surcharges: | $0 |
| Broker Fee: | TBD |
| Total Pay-In: | $625,000 |

# Loss Funding

## Reinsurance

**Protects Captive Against Catastrophic Losses**

$500,000

## B Fund *(Severity Layer)*

**Contributes to the Remainder of the Captive Retention**

- Contributes to Claims in Excess of $125,000 Per Occurrence
- Contributes Towards Risk Sharing/Shifting

$125,000

## A Fund *(Frequency Layer)*

**Pays for first $125,000 of Each Loss**

- Pays for Claims Between $0-$125,000 Per Occurrence
- Pays for the First $125,000 of Any Large Loss

Member Loss Forecast:

$425,000

**Sample Member**

# A Good Year

## $215,000 of total claims less than $125,000

## Reinsurance

*Typical Year Example*

***$215,000 of total claims less than $125,000***

$500,000

## B Fund Accounting

**$95,000 Beginning balance**

$125,000

## A Fund Accounting

**$330,000 Beginning balance**

**- <u>215,000</u> Total claims less than $125,000**

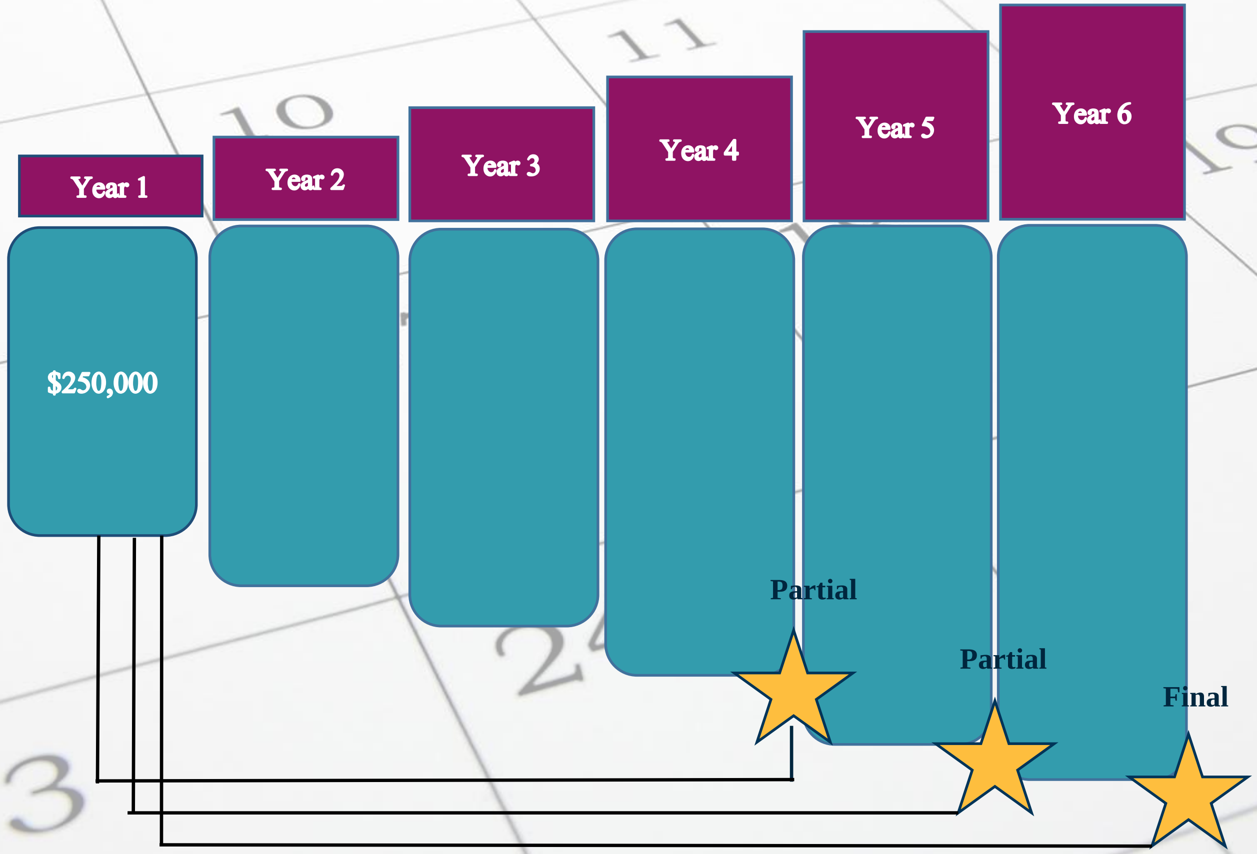
**$115,000 Remaining balance**

# Typical Year

| Results | |
|---|---|
| $115,000 | A Fund |
| + 95,000 | B Fund (before risk sharing) |
| + 40,000 | Estimated Investment Income |
| *$250,000 | Estimated return |

* Less IBNR/closing costs

# When Do I Get What I've Earned?



Insurance, reimagined.

# Risk Sharing Year

**$115,000 of total claims less than $125,000 and a $1,000,000 catastrophic claim**

*Catastrophic Year Example*
***$115,000 of total claims less than $125,000 and a $1,000,000 catastrophic claim***

## Reinsurance

$500,000

## B Fund Accounting

**$95,000 Beginning balance**
- 95,000
**$0 Ending balance**

**$500,000 Claim**
- 125,000 A Fund
**$375,000 Balance**
- 95,000 B Fund
**$280,000 Balance**
- 90,000 A Fund
**$190,000 Balance**
**B Fund Risk Sharing**

$125,000

## A Fund Accounting

**$330,000** Beginning balance
-115,000 Total claims less than $125,000
-125,000 1st $100,000 of $1,000,000 claim
**$90,000** New balance
- 90,000 Additional for catastrophic claim
**$0** Ending balance

# Catastrophic Year

## Results

- Majority of loss reinsured away
- No additional premium required
- Investment income still earned on loss funds
- Catastrophic claim capped at $125,000 for actuarial purposes, minimizes impact on future years' premiums
- Impact on risk sharing is minimal

# High Frequency Loss Year

## $480,000 of total claims less than $125,000

## Reinsurance

## High Frequency Year Example

**$480,000 of total claims less than $125,000**

$500,000

## B Fund Accounting

**$95,000 Beginning balance**

$125,000

## A Fund Accounting

**$330,000 Beginning balance**

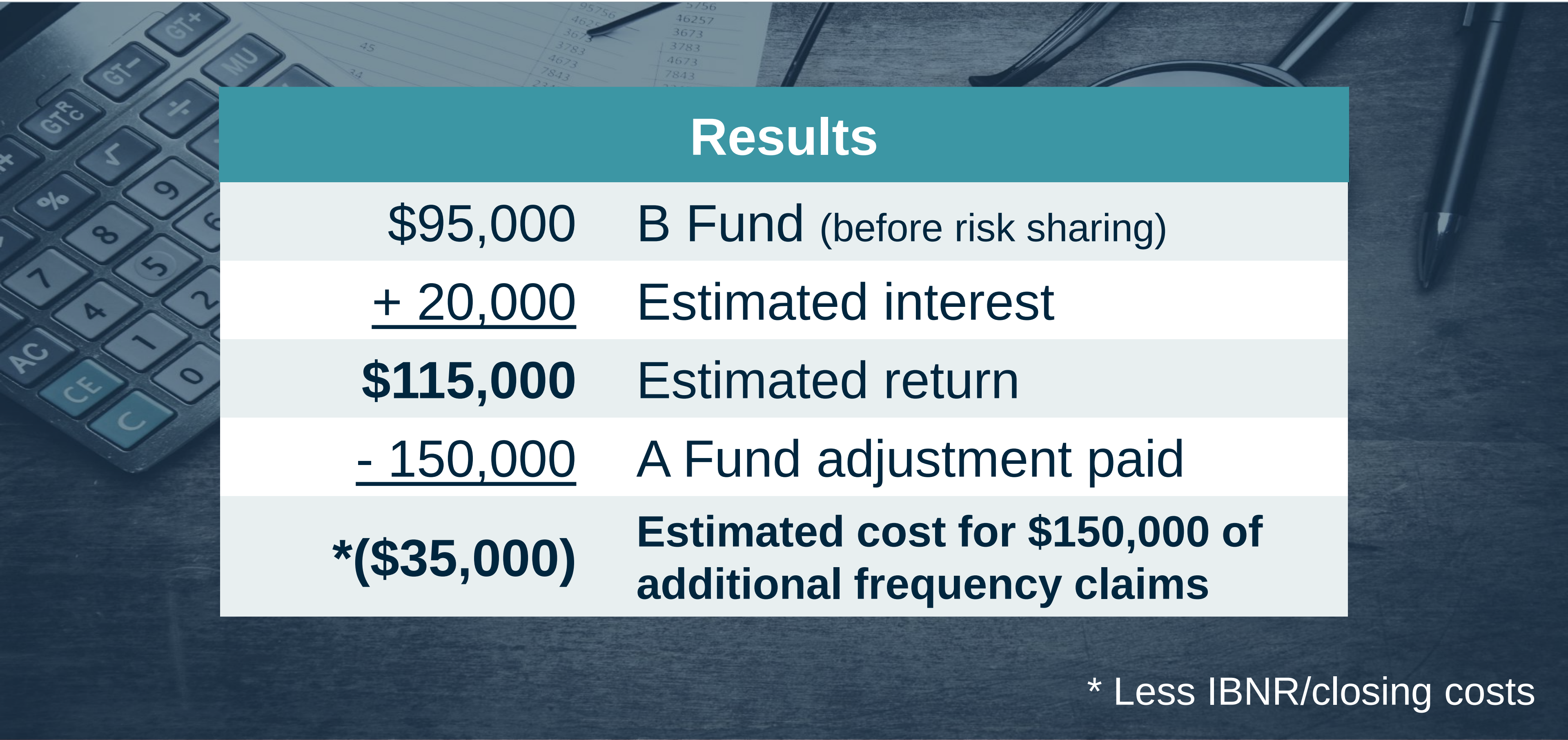
\- 480,000 Total claims less than $100,000

**- $150,000 Remaining balance**

\+ 150,000 A Fund adjustment

**$0 Ending balance**

# High Frequency Year



| Results | |
|---|---|
| $95,000 | B Fund (before risk sharing) |
| + 20,000 | Estimated interest |
| **$115,000** | Estimated return |
| - 150,000 | A Fund adjustment paid |
| ***($35,000)** | **Estimated cost for $150,000 of additional frequency claims** |

* Less IBNR/closing costs

# How Are Adjustments Funded?

Year 1

**$625,000 Premium Paid**

A Fund Claims Exceed A Fund contributions by $150,000

Year 2

**50% of adjustment due**

Paid Quarterly

$150,000
- 75,000
$75,000

Year 3

**80% of adjustment due**

Paid Quarterly

$75,000
- 45,000
$30,000

Year 4

**100% of adjustment due**

Paid Quarterly

$30,000
- 30,000
$0

# Adjustments Are Paid Directly Into Loss Fund Accounts

- No operational costs (other than FET)
- No lump-sum payment
- Adjustments evaluated every 6 months with new financial statements
- Return of funds if reserves are reduced below initial estimates

# What Is My Investment?

CaptiveResources

# Share Certificates

- Common Share
  - Voting rights
  - Retains obligations for assessments & security collateral
- Preferred Share
  - Retains dividend right
  - Shareholder can be different from the Common Share
  - Share can be fractionalized

# Collateral Requirements

Letter of Credit or Cash

## Functions

1. Member-to-member obligations
2. Capitalizes the captive
3. Collateralizes policy issuing carrier

## Assume A Fund equals $330,000 each year

Total = 2 x average A Fund = $660,000

2/3rd of A Fund 1st Year: $220,000

2/3rd of A Fund 2nd Year: $220,000

2/3rd of A Fund 3rd Year: $220,000

# Dividends Declared since Inception

# $2,800,000,000+

# Proposal Process

Prospect gets cleared through our system

Initial conversation required to explain captive fundamentals

FULL submission received at least 60 days prior to proposal date

Formal proposal required with Captive Resources included